



THE ECONOMICS

- ▶▶ **\$63 PER BARREL IS THE EXPECTED AVERAGE PRICE OF BRENT CRUDE OIL IN 2025, AS PER GOLDMAN SACHS**
- ▶▶ **\$70 PER BARREL IS THE AVERAGE CRUDE OIL PRICE TAKEN BY THE RBI'S MONETARY POLICY COMMITTEE IN APRIL FOR 2025-26**
- ▶▶ **220 MILLION TONNE WAS INDIA'S CRUDE OIL IMPORT BETWEEN APRIL 2024 AND FEBRUARY 2025 AT A COST OF \$124.7 BILLION**
- ▶▶ **10% DROP IN CRUDE OIL PRICES TO THE BASELINE WITH FULL PASS-THROUGH TO DOMESTIC PRICES CAN LEAD TO A 30 BPS FALL IN INFLATION AND A 15 BPS HIKE IN INDIA'S REAL GDP**

| 45

Reflecting the global dip, the price of the Indian basket of crude has fallen below \$70 per barrel, the first such instance since August 2021. This April, India's average crude oil import price has been near \$69, which is almost 22% lower than \$89.44 in April 2024.

This is definitely good news for India, which imports nearly 89% of its crude oil requirements. Crude petroleum and products remain the country's top import item. In FY25, India imported crude petroleum and products worth \$185.78 billion, up nearly 4% year-on-year (YoY), indicating the growing demand for fuel.

The Reserve Bank of India (RBI), too, has pointed out that the fall in crude prices augurs well for the inflation outlook. It has lowered its FY26 consumer price index (CPI)-based inflation rate forecast to 4% from 4.2%.

The Monetary Policy Report of the RBI in April has also reduced the baseline assumption for crude price (Indian basket) to \$70 per barrel in 2025-26 from \$80 per barrel in the second half of 2024-25 that it had projected in October 2024.

"Global crude oil prices have exhibited a declining trend with Brent crude falling from a high of \$82 per barrel in early-October 2024 to an average of \$73 per barrel in March 2025. Weak global demand conditions, sustained supply increase from OPEC+ and non-OPEC countries and orderly resolution of geopolitical conflicts will have a potential dampening impact on crude oil prices," the report pointed.

The report noted that if crude prices drop by 10% against the baseline, and if this is fully passed through to